

HOUSING FINANCE

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UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES

I STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2015	31.03.2014	BANK	31.03.2015	GROUP CONSOLIDATED	31.03.2015
	Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	Unaudited (Ksh'000)	31.03.2014 Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)
A. ASSETS					
1 Cash balances (both local and foreign)	150,119	285,753	293,144	150,119	285,753
2 Balances due from Central Bank of Kenya	1,605,984	2,756,198	2,212,712	1,605,984	2,756,198
3 Kenya Government and other securities held for dealing purposes	-	-	-	-	-
4 Financial Assets at fair value through profit and loss	-	-	-	-	-
5 Investment Securities:	-	-	-	-	-
a) Held to Maturity:	-	-	-	-	-
a. Kenya Government securities	-	-	-	-	-
b. Other securities	-	-	-	-	-
b) Available for sale:	461,247	264,331	254,911	461,247	264,331
a. Kenya Government securities	278,747	264,331	254,911	278,747	264,331
b. Other securities	182,500	-	-	182,500	-
6 Deposits and balances due from local banking institutions	8,267,239	7,616,243	7,412,427	8,267,252	7,616,256
7 Deposits and balances due from banking institutions abroad	31,086	967,266	75,058	31,086	967,266
8 Tax recoverable	-	4,315	-	-	14,260
9 Loans and advances to customers (net)	37,247,162	45,243,539	47,688,648	37,247,162	45,243,539
10 Balances due from banking institutions in the group	-	-	-	-	-
11 Investments in associates	-	-	-	-	-
12 Investments in subsidiary companies	255,120	255,120	1,605,120	-	-
13 Investment in Joint ventures	190,800	172,549	201,017	190,800	172,549
14 Investment properties	-	-	-	88,670	314,347
15 Property and equipment	931,464	1,282,081	1,323,353	937,505	1,282,252
16 Prepaid operating lease rentals	40,210	39,860	39,745	46,524	46,038
17 Intangible assets	428,185	521,114	649,269	428,185	521,114
18 Deferred tax asset	313,116	445,431	445,431	313,278	446,455
19 Retirement benefit asset	-	-	-	-	-
20 Other assets	439,391	637,034	580,238	1,116,788	1,031,322
21 TOTAL ASSETS	50,361,123	60,490,833	62,781,072	50,884,600	60,961,680
B. LIABILITIES					
22 Balances due to Central Bank of Kenya	-	-	-	-	-
23 Customer deposits	28,682,529	36,310,472	34,314,786	28,521,986	36,105,929
24 Deposits and balances due to local banking institutions	-	-	-	-	-
25 Deposits and balances due to foreign banking institutions	-	-	-	-	-
26 Other money market deposits	-	-	-	-	-
27 Borrowed funds	15,127,091	16,996,112	17,101,929	15,474,367	17,143,112
28 Balances due to banking institutions in the group	-	-	-	-	-
29 Tax payable	143,279	-	74,769	155,373	-
30 Dividends payable	47,212	46,307	29,189	47,212	46,307
31 Deferred tax liability	-	-	-	-	-
32 Retirement benefit liability	-	-	-	-	-
33 Other liabilities	448,936	861,909	1,439,836	573,976	1,107,450
34 TOTAL LIABILITIES	44,449,047	54,214,800	52,960,509	44,772,914	54,402,798
C. SHAREHOLDERS' FUNDS					
35 Paid up /Assigned capital	1,155,350	1,157,900	1,741,233	1,155,350	1,157,900
36 Share premium/(discount)	1,554,523	1,557,073	4,304,950	1,554,523	1,557,073
37 Revaluation reserves	512,332	701,568	701,892	512,332	701,568
38 Retained earnings/Accumulated losses	1,870,577	2,616,280	2,893,298	2,070,187	2,899,129
39 Statutory loan loss reserves	485,959	64,021	-	485,959	64,021
40 Other Reserves	51,515	(45,245)	(45,245)	51,515	(45,245)
41 Proposed dividends	231,070	173,685	173,685	231,070	173,685
42 Capital grants	50,750	50,750	50,750	50,750	50,750
43 TOTAL SHAREHOLDERS' FUNDS	5,912,076	6,276,033	9,820,564	6,111,686	6,558,882
44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	50,361,123	60,490,833	62,781,072	50,884,600	60,961,680

II STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31 MARCH 2015	31.03.2014	BANK	31.03.2015	GROUP CONSOLIDATED	31.03.2015
	Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	Unaudited (Ksh'000)	31.03.2014 Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)
1 INTEREST INCOME					
1.1 Loans and advances	1,281,868	5,814,279	1,633,277	1,282,312	5,814,833
1.2 Government securities	8,788	36,014	8,788	8,788	36,014
1.3 Deposits and placements with banking institutions	145,538	523,935	148,931	145,538	523,935
1.4 Other Interest Income	-	-	-	-	-
1.5 Total interest income	1,436,194	6,374,228	1,790,996	1,436,638	6,374,782
2 INTEREST EXPENSES					
2.1 Customer deposits	465,755	1,882,732	597,562	465,045	1,867,321
2.2 Deposits and placement from banking institutions	-	-	-	-	-
2.3 Other interest expenses	319,539	1,473,482	411,705	319,539	1,473,482
2.4 Total interest expenses	785,294	3,356,214	1,009,267	784,584	3,340,803
3 NET INTEREST INCOME/(LOSS)	650,900	3,018,014	781,729	652,054	3,033,979
4 OTHER OPERATING INCOME					
4.1 Fees and commissions on loans and advances	63,275	232,497	57,779	63,275	232,497
4.2 Other fees and commissions	15,857	79,576	22,651	34,787	134,542
4.3 Foreign exchange trading income/(Loss)	13,680	17,803	3,277	13,680	17,803
4.4 Dividend Income	-	2,375	-	-	2,375
4.5 Other income	27,971	179,564	14,940	106,127	455,478
4.6 Total Non-interest income	120,783	511,814	98,646	217,869	842,695
5 TOTAL OPERATING INCOME	771,683	3,529,828	880,375	869,923	3,876,674
6 OPERATING EXPENSES					
6.1 Loan loss provision	89,389	551,219	144,709	89,389	551,219
6.2 Staff costs	205,600	965,412	248,168	212,520	976,430
6.3 Directors' emoluments	4,854	14,262	1,655	4,854	23,262
6.4 Rental charges	4,387	31,289	13,308	5,135	34,359
6.5 Depreciation charge on property and equipment	23,302	77,539	23,762	23,378	77,845
6.6 Amortisation charges	2,965	12,710	5,026	2,965	12,710
6.7 Other operating expenses	156,582	592,594	180,134	215,710	781,944
6.8 Total Other Operating Expenses	487,079	2,245,025	616,763	553,951	2,457,769
7 Profit/(loss) before tax and exceptional items	284,604	1,284,803	263,612	315,972	1,418,904
8 Exceptional items	-	(18,251)	40,668	-	(18,251)
9 Profit/(loss) after exceptional items	284,604	1,266,552	304,281	315,972	1,400,653
10 Current tax	(85,381)	(546,261)	(91,284)	(576,027)	(98,892)
11 Deferred tax	-	149,849	-	-	150,710
12 Profit/(loss) after tax and exceptional items	199,223	870,140	212,996	221,181	975,336
13 Other Comprehensive Income					
13.1 Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-
13.2 Fair value changes in available for sale financial assets	31,000	(85,151)	-	31,000	(85,151)
13.3 Revaluation surplus on Property, plant and equipment	-	226,161	-	-	226,161
13.4 Share of other comprehensive income of associates	-	-	-	-	-
13.5 Income tax relating to components of other comprehensive income	-	(17,533)	-	-	(17,533)
14 Other Comprehensive Income for the year net of tax	31,000	123,477	-	31,000	123,477
15 Total comprehensive income for the year	230,223	993,617	212,996	252,181	1,098,813
Earnings per share	3.45	3.76	2.45	3.83	4.21
Dividend per share	-	1.50	-	-	1.50

III DISCLOSURES AS AT 31 MARCH 2015	31.03.2014	BANK	31.03.2015	GROUP CONSOLIDATED	31.03.2015
	Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)	Unaudited (Ksh'000)	31.03.2014 Unaudited (Ksh'000)	31.12.2014 Audited (Ksh'000)
1 Non-Performing Loans and Advances	3,583,982	4,163,451	3,871,637	3,583,982	4,163,451
a) Gross non-performing loans and advances	-	-	-	-	-
b) Less: Interest in Suspense	157,113	202,458	403,075	157,113	202,458
c) Total non-Performing loans and advances (a-b)	3,426,869	3,960,993	3,468,562	3,426,869	3,960,993
d) Less: Loan loss provisions	835,908	813,945	603,677	835,908	813,945
e) Net non-performing loans and advances(c-d)	2,590,961	3,147,048	2,864,885	2,590,961	3,147,048
f) Discounted value of securities	2,590,961	3,147,048	2,864,885	2,590,961	3,147,048
g) Net Exposure(e-f)	-	-	-	-	-
2 Insider loans and advances					
a) Directors, shareholders and associates	-	430,568	448,553	-	430,568
b) Employees	795,066	851,725	916,974	795,066	851,725
c) Total Insider Loans and Advances	795,066	1,282,293	1,365,527	795,066	1,282,293
3 Off-Balance Sheet items					
a) Letters of credit, guarantees and acceptances	39,317	74,730	81,099	39,317	74,730
b) Other contingent liabilities	-	-	-	-	-
c) Total contingent liabilities	39,317	74,730	81,099	39,317	74,730
4 Capital Strength					
a) Core capital	3,845,937	4,840,577	8,342,307	-	-
b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	-	-
c) Excess/Deficiency	2,845,937	3,840,577	7,342,307	-	-
d) Supplementary capital	2,276,940	1,730,919	1,599,837	-	-
e) Total capital (a+d)	6,122,877	6,571,497	9,942,144	-	-
f) Total risk weighted assets	31,315,066	43,534,183	46,194,268	-	-
g) Core capital /Total deposit liabilities	13.41%	13.33%	24.31%	-	-
h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	-	-
i) Excess/Deficiency	5.41%	5.33%	13.81%	-	-
j) Core capital /Total risk weighted assets	12.28%	11.12%	18.06%	-	-
k) Minimum Statutory Ratio	8.00%	8.00%	10.50%	-	-
l) Excess/Deficiency (j-k)	4.28%	3.12%	7.56%	-	-
m) Total capital /Total risk weighted assets	19.55%	15.10%	21.52%	-	-
n) Minimum Statutory Ratio	12.00%	12.00%	14.50%	-	-
o) Excess/Deficiency (m-n)	7.55%	3.10%	7.02%	-	-
5 Liquidity					
a) Liquidity Ratio	34.50%	30.76%	28.31%	-	-
b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	-	-
c) Excess(Deficiency) (a-b)	14.50%	10.76%	8.31%	-	-

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Years

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property
with Zero
Stress

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legal fees* ~ zero

stamp duty ~ zero

valuation costs* ~ zero

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TO
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These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.housing.co.ke.

They may also be accessed at the institution's head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi.

FRANK IRERI
CHIEF EXECUTIVE OFFICER

STEVE MAINDA
CHAIRMAN

Housing Finance is regulated by the Central Bank of Kenya